



“Kia India is now a case study on entering and disrupting a market even when you are a late entrant”

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“Hyundai gave them economies of scale which helped them bring the [production] costs down”

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its pricing, which helped it achieve the sales milestone of 500,000 dispatches from its Anantapur plant in less than three years. Kia Carens is priced at just ₹8.99 lakh (introductory, ex-showroom) for a seven-seater MPV with SUV styling, while rival Hyundai Alcazar is priced north of ₹16 lakh.

Kia is also targeting India's upwardly mobile base with an offering like Carnival, which costs upwards of ₹30-40 lakh and will get more customers from the top metros. But it also wants to gain deeper penetration into smaller towns and cities. Kia's top 10 markets contribute 45 per cent to its overall sales, but for a product like Carnival, they may contribute about 60 per cent. “Our top 50 towns is where there's more demand, but as you go down in terms of pricing, the smaller markets start contributing even more. We want to make our products suitable to them as well,” says Brar.

All these strategies have helped Kia India register a net profit of ₹1,111 crore in FY21, following a loss of ₹329

crore in the previous fiscal, according to the company's filings with the Ministry of Corporate Affairs (MCA).

THE COMPANY IS now gearing up for its electric vehicle plans, with EV6 to be its first EV for India. Bookings will open on May 26, according to the Kia India website. “As and when they launch their EVs, they need to think about exporting them from India. It will work very well for the Indian consumer and will be a testament to the confidence that the Kia management globally has shown in the Indian market,” says Vangaal of IHS Markit. Kia already exports its cars to about 90 countries from India.

Brar's next big challenge, apart from maintaining Kia's growth momentum, is to focus more on localisation. It started at about 70 per cent but now it's at more than 80 per cent. “To get it right in the first few years was difficult. Plus, our cost of maintenance is also low. This gave us an edge compared to some of the other players in the market. But localisation is a continuous process. It helps us move away from fluctuations in foreign exchange and gets our costing better,” says Brar.

That said, the company, like other automakers, is struggling with supply-side issues, freight costs, the semiconductor crisis, rising fuel costs, etc. “Our new launches are on track, but yes, there have been disruptions. It doesn't materialise on the kind of cars we want to make. We have definitely seen improvement over the past couple of months compared to six months ago,” says Brar. Kia's waiting periods are at three to six months, depending on the variant.

In fiscal year 2021-22, Kia sold 186,787 cars, at an average of 15,500 per month. Going forward, Brar expects this number to touch 20,000 per month once supply-side challenges are dealt with. “Last year, we were 6 per cent of the Indian market. We're looking at more than 7 per cent this year. We want to grow at about 25-30 per cent this year whereas the market is expected to grow at about 10 per cent. We want to outpace the market like we've done in the past,” says Brar. The company will also have to contend with stiffer competition, with rivals launching well-designed SUVs in quick time.

For Sohn, Kia's success is already a case study for future entrants: “We carefully observed the need gap in the Indian market and understood that design should be our biggest USP to sell in India. Kia India is now a case study on entering and disrupting a market even when you are a late entrant.” **BT**

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